Even though Tim had turned the age to be legally considered an adult, he was unable to make wise adult business decisions. Tim's father should have been more proactive in aiding his son to make sensible decisions. Instead, Tim's father believed that experience was the best teacher. Unfortunately, experience can be an expensive teacher.

The concept of diversification is a strategy designed to help reduce risk. Distributing your money among different investments is a less volatile approach than one that is concentrated in a single type of investment (like Tim's business venture). To assess your risk tolerance, you need to determine how much or how little safety is necessary for you. The following chart will help you to figure out your attitude toward risk. Each category lists descriptors that explain the different levels:

Conservative	Safety of principal is the main concern. Risk must be kept to an absolute minimum. Asset: 55% bonds; 20% stocks; 25% cash
Conservative to moderate	Safety of principal is most important, but a secondary goal is growth of capital. Some risk is acceptable where growth opportunities exist. Asset: 45% bonds; 40% stocks; 15% cash
Moderate	Safety of principal and growth of capitalare of equal importance. A smallamount of risk is acceptable. Assets: 30% bonds; 60% stocks; 10% cash
Moderate to aggressive	Growth of capital is the main concern, but safety of principal is also important. A moderate amount of risk is acceptable. Assets: 20% bonds; 75% stocks; 5% cash
Aggressive	Growth of capital is the main concern. Reasonably high risk is acceptable. Assets: 95% stocks; 5% cash